BUSINESS ETHICS

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DEFINITION & DIFFERENT VIEWS

- Ethics refers to the accepted principles of right or wrong that govern the conduct of a person, a group, or an organization
- Business ethics are the accepted principles of right or wrong governing the conduct of business people
- Two extreme views of business ethics:

1. Cultural relativism:

   No culture's ethics are better than any other's. There is no international rights or wrongs. "When in Rome, do as the Romans do"

2. Cultural absolutism (ethical imperialism):

   Directs people to do everything exactly as they do at home. Ignores different cultural traditions

GUIDING PRINCIPLES

- Companies must help managers distinguish between practices that are simply different and those that are wrong. For relativists, nothing is sacred or wrong, while for absolutists, many things that are different are wrong.
- Three guiding principles shaping ethical behavior

1. Respect for core human values, which determine the absolute moral threshold for all business activities
2. Respect for local traditions, which should be practiced differently from the viewpoint of cultural relativism.
3. The belief that context matters when deciding what is right and what is wrong.

Core Human Values

- Three core human values (that must guide managers' actions and that define the ethical threshold)

  1. Respect for human dignity:
     - Individuals must not treat others simply as tools. They must recognize a person's value as a human being.
  2. Respect for basic rights:
     - Individuals and communities must treat people in ways that respect people's basic rights.
  3. Good citizenship:
     - Members of a community must work together to improve the institutions on which the community depends

- Companies can pursue these core human values by creating and sustaining a corporate culture (e.g., code of conduct) in which employees, customers, and suppliers are treated not as means to an end.

Codes of Ethics/Conduct

- Codes of ethics/conduct can be developed to provide a guideline for ethical actions and decisions.
- Codes of ethics/conduct must provide clear direction about ethical behavior when the temptation to behave unethically is strongest
  - “Bribery is unacceptable” is not meaningful unless accompanied by specific guidelines for gift giving, payments to get goods through customs, and request from intermediaries who are hired to ask for bribes.
- For example, Motorola’s code of conduct:
  - With respect to bribery, “funds and assets of Motorola shall not be used, directly or indirectly, for illegal payments of any kind”
  - It sends a clear message to managers.

CONFLICTS IN ETHICAL STANDARDS

- Conflicts of Relative Development
  - Conflicts in ethical standards stemming from the countries' different levels of economic development
  - For example, wage rate in some developing countries
  - To resolve this conflict, a manager must ask the question: Would the practice be acceptable at home if the home country were in a similar stage of economic development?
- Conflicts of Cultural Tradition
  - Conflicts in ethical standards stemming from cultural tradition
  - For example, Japanese gift giving
  - Is it possible to conduct business successfully in the host country without undertaking the practice? Is the practice a violation of a core human value? If no to both, allow the practice in the host country

GUIDELINES FOR ETHICAL LEADERSHIP

- Treat corporate values and formal standards of conduct as absolutes
- Design and implement conditions of engagement for suppliers and customers
- Allow foreign business units to help formulate ethical standards and interpret ethical issues
- In host countries, support efforts to decrease institutional corruption
- Exercise moral imagination. Using moral imagination means resolving tensions responsively and creatively. (ex. Coca-Cola in Egypt)

ETHICAL ISSUES IN INTERNATIONAL BUSINESS

- The most common ethical issues in business involve

  - employment practices
  - human rights
  - environmental regulations
  - corruption
  - the moral obligation of multinational companies

ETHICAL ISSUES IN INTERNATIONAL BUSINESS

- Employment Practices

  When work conditions in a host nations are clearly inferior to those in a multinational's home nation, what standards should be applied?

  - The standards of the home nation?
  - The standards of the host nation?
  - Something in between?

- Human Rights

  What is the responsibility of a foreign multinational when operating in a country where basic human rights are not respected?

ETHICAL ISSUES IN INTERNATIONAL BUSINESS

- Environmental Regulations

  Should a multinational feel free to pollute in a developing nation if doing so does not violate laws?

  - When environmental regulations in host nations are far inferior to those in the home nation, ethical issues arise

- Corruption

  Government officers may ask for bribes for an MNE to “get things done”

  - Is an MNE’s manager who agree a corrupt manager?
  - Should an MNE ever accede to bribery demand?

ETHICAL ISSUES IN INTERNATIONAL BUSINESS

- Moral Obligation of Multinational Companies

  - Do multinationals have a responsibility to give back to the societies that enable them to grow and prosper?

  - The concept of social responsibility refers to the idea that business people should take the social consequences of economic actions into account when making business decisions, and that there should be a presumption in favor of decisions that have both good economic and good social consequences

DETERMINANTS OF (UN)ETHICAL BEHAVIOR

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- Personal Ethics

  - Business ethics reflect personal ethics (the generally accepted principles of right and wrong governing the conduct of individuals)

  - Expatriates may face pressure to violate their personal ethics because they are away from their ordinary social context and supporting culture, and they are psychologically and geographically distant from the parent company

- Decision Making Process

  Studies show that business people may behave unethically because they fail to ask the relevant question - is this decision or action ethical?

  - Decisions are made based on economic logic without serious consideration for ethics

DETERMINANTS OF (UN)ETHICAL BEHAVIOR

- Organizational Culture

  - Unethical behavior may exist in firms with an organization culture (the values and norms that are shared among employees of an organization) that does not emphasize business ethics

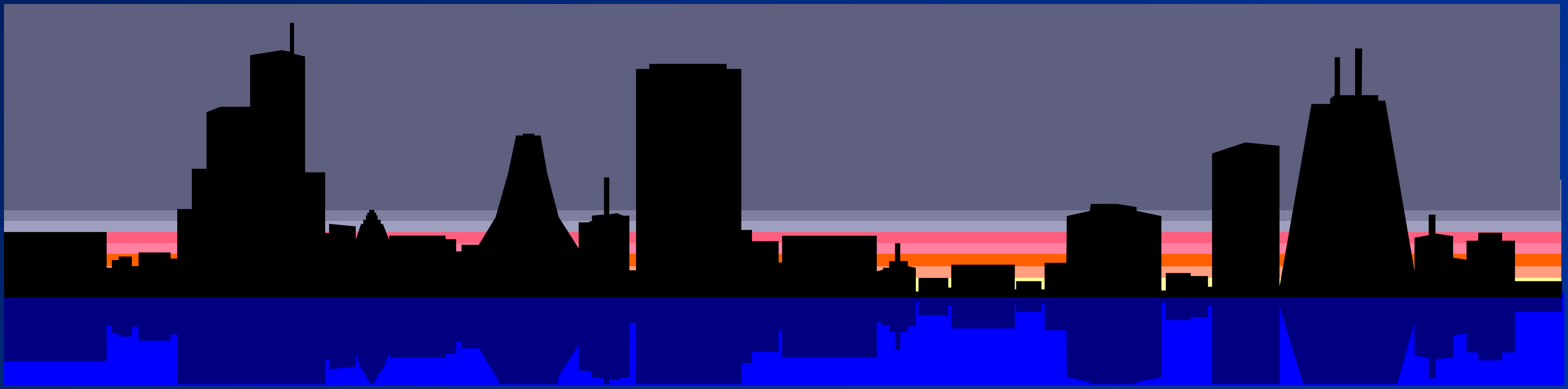
  - Values and norms shape the culture of a firm, and that culture influences decision making
- Unrealistic Performance Expectation

  - Pressure from the parent company to meet performance goals that are unrealistic, and can only be attained by cutting corners or acting in an unethical manner can cause unethical behavior
- Leadership

  - If a firm's leaders fail to act in an ethical manner, other employees may not act ethically

  - Actions speak louder than words

Implications for Businesses



IMPLICATIONS FOR BUSINESSES

- How can managers ensure that ethical issues are considered in business decisions?
- Managers should:

- favor hiring and promoting people with a well grounded sense of personal ethics
- build an organizational culture that places a high value on ethical behavior
- makes sure that leaders within the business not only articulate the rhetoric of ethical behavior but also act in manner that is consistent with that rhetoric
- put decision making processes in place that require people to consider the ethical dimension of business decisions
- develop moral courage

Hiring and Promotion

- Businesses should strive to identify and hire people with a strong sense of personal ethics
- Prospective employees should find out as much as they can about the ethical climate in an organization

Organization Culture and Leadership

- Businesses need to build an organization culture that places a high value on ethical behavior
  - the business must explicitly articulate values that place a strong emphasis on ethical behavior, perhaps using a code of ethics/conduct (a formal statement of the ethical priorities a business adheres to)
  - leaders in the business should give life and meaning to the code of ethics/conduct by repeatedly emphasizing their importance, and then acting on them
  - the business should put in place a system of incentives and rewards that recognize people who engage in ethical behavior and sanction those who do not

Decision-Making Processes

- A moral compass can help determine whether a decision is ethical. If a manager can answer “yes” to the following questions, the decision is ethically acceptable.
  - does my decision fall within the accepted values of standards that typically apply in the organizational environment?
  - am I willing to see the decision communicated to all stakeholders affected by it?
  - would the people with whom I have significant personal relationships approve of the decision?

Decision-Making Processes

A five-step process can help managers think through ethical issues

1. How would a decision affect internal and external stakeholders (the individuals or groups who have an interest, stake, or claim in the actions and overall performance of a company) ?
2. Managers need to determine whether a proposed decision would violate the fundamental rights of any stakeholders
3. Managers need to establish moral intent (the business must resolve to place moral concerns ahead of other concerns in cases where either the fundamental rights of stakeholders or key moral principles have been violated)
4. The company should then engage in ethical behavior
5. The business must audit its decisions, reviewing them to make sure that they were consistent with ethical principles

Ethics Officers

- To encourage ethical behavior in a business, many firms in the states now have ethics officers
- Ethics officers ensure that:

  - employees are trained to be ethically aware
  - ethical considerations enter decision-making
  - the company's code of ethics is followed

Moral Courage

- Employees in an international business may need significant moral courage
  - Managers need to be able to walk away from decisions that are profitable but unethical
  - Employees need to be able to say no to actions that are unethical